

RATING ACTION COMMENTARY

Fitch Affirms RWE at 'BBB+'; Outlook Stable

Thu 21 Nov, 2024 - 10:42 ET

Fitch Ratings - Frankfurt am Main - 21 Nov 2024: Fitch Ratings has affirmed RWE AG's Long-Term Issuer Default Rating (IDR) at 'BBB+' with a Stable Outlook. A full list of rating actions is below.

The affirmation reflects RWE's strong business profile as a large generation company with an increasing focus on clean technologies. EBITDA is supported by long-term contracted earnings across various segments, which offer good cash flow predictability in high-quality jurisdictions.

We view RWE's strategy as largely unchanged following the recent announcement of a capex reduction in 2025-2026 and the introduction of a share buyback programme. We expect nuclear-adjusted funds from operations (FFO) net leverage to remain below its negative sensitivity of 2.5x over the forecast period, albeit with limited headroom in 2026.

KEY RATING DRIVERS

Capex Reduced on Changing Market Conditions: RWE will cut its net capex by around EUR2 billion in 2025 and 2026. Almost 50% of the cut will be in its US offshore wind where RWE sees higher risks and potential delays after the US elections. The remaining cuts will be in green hydrogen projects as the hydrogen market is not developing as quickly as expected in Europe and UK. This will lower net capex to EUR7 billion per year on average in 2025-2026 from EUR8 billion planned previously. We do not expect it to affect our EBITDA forecasts, as these projects were anticipated to only add to earnings from 2030.

The capex revision is broadly in line with the trend from other investment-grade generation companies and integrated utilities that are following a more selective approach to investments in renewables, especially towards offshore wind projects.

Potential Delays to Investment Execution: RWE will carry on with the execution of its green strategy but expects some delays versus its initial plan. The target so far was to invest EUR55 billion net capex over 2024-2030, allocated for 75% to renewables with a target capacity of more than 65GW in 2030. Following the capex cut and given current market uncertainties, especially in the US, we expect this target to be reached only beyond 2030, but RWE has not yet defined a new timeline. RWE has confirmed it will continue to expand renewables in its core markets, where it sees increasing demand for green power.

Share Buyback Announced: RWE recently launched a share buyback programme of EUR1.5 billion, which will start in 4Q24 and last 18 months. This follows the shareholder authorisation granted by the board in 2023 to acquire up to 10% of the share capital until May 2025, with the intention to renew the authorisation next year. The cash-out related to the share buyback largely offsets the capex cut, resulting in cumulatively lower cash spending of around EUR0.5 billion in 2025-2026, with a limited impact on RWE's financial profile.

3Q24 Earnings as Expected: RWE's adjusted EBITDA was around EUR4 billion in 9M24, down 30% from last year, as earnings normalised. In flexible generation (FlexGen), EBITDA fell 40% to EUR1.4 billion, due to declining margins and lower price volatility versus records in 2023. Supply & Trading (S&T) EBITDA fell 65% to EUR0.5 million from a record level last year. Offshore wind and onshore wind/solar delivered higher EBITDA (up 8% and 14%, respectively), on good wind conditions and the full contribution of Con Edison Clean Energy Businesses (CEB) assets.

Quasi-Regulated Earnings to Increase: We expect Fitch-defined EBITDA to average EUR4.4 billion over 2024-2026. With the normalisation of energy prices and the expansion of renewables, we expect the share of quasi-regulated EBITDA to rise to 59% in 2026 from 48% in 2024 and below 40% in 2023. RWE derives about 70% of earnings from wind and solar under contracted support schemes with a remaining tenor of 14 years on average. RWE also benefits from capacity payments in the UK gas segment, which represent about 25% of FlexGen earnings.

Coal Exposure to Diminish: Exposure to coal is still a weakness on RWE's debt capacity versus peers'. Starting from 2024, the coal business will be reported as phase-out technologies under non-operating result, in line with RWE's strategy to exit coal in 2030. The increase in the share of quasi-regulated earnings and the gradual decrease of coal capacity would improve the business profile of RWE in the medium term.

Negative FCF Projected: We forecast a cumulative net capex of EUR23.6 billion over 2024-2026. The high capex, together with steadily increasing dividends in line with management's commitment, results in negative free cash flow (FCF) of EUR4.7 billion on average over the period. This leads to a gradual increase in net debt (excluding nuclear provisions) to EUR7.3 billion in 2026 in our rating case, from a net cash position of EUR2 billion in 2023.

Moderate Leverage Headroom: We expect nuclear-adjusted FFO net leverage to average 1.8x over 2024-2026, increasing to 2.2x in 2026, thus reducing the headroom under the negative sensitivity of 2.5x. RWE's company-defined net debt/adjusted EBITDA target will increase to 3.5x post-2025 from 3.0x currently. RWE has reiterated its commitment to maintain a strong investment-grade rating and can cut capex (largely uncommitted) further, increase asset rotation and issue hybrids to control leverage. Such measures are not included in our rating case as we do not anticipate them to be required in 2024-2026.

DERIVATION SUMMARY

RWE's closest peers are European generation companies, like Fortum Oyj (BBB/Stable), Statkraft AS (A-/Negative; SCP: bbb+), and Orsted A/S (BBB+/Stable). RWE has a materially higher share of quasi-regulated business than Fortum, but remains more exposed to thermal generation, which ultimately leads to a broadly similar debt capacity.

RWE's rating is at the same level as the 'bbb+' Standalone Credit Profile of Statkraft. While both companies have comparable revenue size, the Nordic utility has a better generation mix due to its low-cost, flexible hydro-asset base and lower exposure to thermal generation. However, RWE has a higher share of quasi-regulated earnings and no emerging-market exposure, which leads to an overall similar debt capacity.

Orsted has a higher debt capacity of 3.2x versus RWE's 2.5x for the same rating. This reflects Orsted's 80% quasi-regulated cash flow, a greater proportion of renewables in its generation mix and long-term price support mechanisms for its offshore wind power business. These strengths are partially offset by its higher concentration in offshore wind.

KEY ASSUMPTIONS

Fitch's Key Assumptions Within Our Rating Case for the Issuer

- Installed capacity to increase to 55GW in 2026 comprising 24.5GW from wind and solar, 22GW from FlexGen and 8GW from coal

- Fitch-defined EBITDA of EUR4.6 billion in 2024, and averaging EUR4.3 billion in 2025-2026
- Average net capex of EUR7.9 billion a year over 2024-2026
- Average dividends of about EUR800 million a year over 2024-2026

RATING SENSITIVITIES

Factors That Could, Individually or Collectively, Lead to Negative Rating Action/Downgrade

- Deterioration of the business profile, for example, due to delays to investments in renewables, lower-than-expected profitability of new assets or persistently depressed electricity prices
- Nuclear-adjusted FFO net leverage above 2.5x on a sustained basis

Factors That Could, Individually or Collectively, Lead to Positive Rating Action/Upgrade

- We currently do not anticipate an upgrade to the 'A' category. Upside is limited by RWE's business profile as an electricity generation utility with no networks and its sizeable thermal exposure. However, signs of a quicker shift to renewables, for example with over 75% EBITDA contribution from quasi-regulated activities, while keeping leverage low, could lead to positive rating action

LIQUIDITY AND DEBT STRUCTURE

At end-September 2024, RWE had EUR11.3 billion of cash and marketable securities and EUR10 billion committed undrawn revolving credit facilities. This compares with Fitch-expected negative FCF (after acquisitions and divestitures) of EUR6.6 billion in 2024 and EUR0.5 billion in 2025 and a EUR1.25 billion bond maturity in 2025. During 9M24, RWE issued three bonds for a total of EUR2.4 billion, demonstrating solid market access.

RWE has a EUR5 billion syndicated credit facility with a maturity in July 2025 and extension options at the company's discretion. It also has credit lines of EUR3 billion and EUR2 billion, which run until April 2026. In addition, RWE's 15% stake in E.ON (around EUR4.5 billion) is a source of financial flexibility if it decides to divest the stake in full or in part.

ISSUER PROFILE

RWE is a power generation and trading company. It is one of the largest utilities in Germany with operations in several other European markets and worldwide.

REFERENCES FOR SUBSTANTIALLY MATERIAL SOURCE CITED AS KEY DRIVER OF RATING

The principal sources of information used in the analysis are described in the Applicable Criteria.

MACROECONOMIC ASSUMPTIONS AND SECTOR FORECASTS

[Click here](#) to access Fitch's latest quarterly Global Corporates Macro and Sector Forecasts data file which aggregates key data points used in our credit analysis. Fitch's macroeconomic forecasts, commodity price assumptions, default rate forecasts, sector key performance indicators and sector-level forecasts are among the data items included.

ESG CONSIDERATIONS

RWE has an ESG Relevance Score of '4' for 'GHG Emissions & Air Quality' and 'Energy Management'. ESG issues affect the ratings primarily through the presence of coal in RWE's generation fuel mix. These factors have a negative impact on the credit profile, and are relevant to the ratings in conjunction with other factors. However, RWE has been reducing its carbon footprint and is on a decarbonisation path with a CO2 neutrality goal set for 2040. RWE has also agreed to exit coal in 2030.

The highest level of ESG credit relevance is a score of '3', unless otherwise disclosed in this section. A score of '3' means ESG issues are credit-neutral or have only a minimal credit impact on the entity, either due to their nature or the way in which they are being managed by the entity. Fitch's ESG Relevance Scores are not inputs in the rating process; they are an observation on the relevance and materiality of ESG factors in the rating decision. For more information on Fitch's ESG Relevance Scores, visit <https://www.fitchratings.com/topics/esg/products#esg-relevance-scores>.

RATING ACTIONS

ENTITY / DEBT ⚡	RATING ⚡	PRIOR ⚡

RWE Finance Europe
B.V.

senior unsecured	LT	BBB+	Affirmed	BBB+
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RWE Finance US, LLC

senior unsecured	LT	BBB+	Affirmed	BBB+
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RWE AG	LT IDR	BBB+	Affirmed	BBB+
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	ST IDR	F1	Affirmed	F1
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senior unsecured	LT	BBB+	Affirmed	BBB+
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subordinated	LT	BBB-	Affirmed	BBB-
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senior unsecured	ST	F1	Affirmed	F1
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APPLICABLE CRITERIA

[Corporate Hybrids Treatment and Notching Criteria - Effective from 12 November 2020 to 8 April 2025 \(pub. 12 Nov 2020\)](#)

[Corporate Rating Criteria - Effective 3 November 2023 to 6 December 2024 \(pub. 03 Nov 2023\) \(including rating assumption sensitivity\)](#)

[Sector Navigators – Addendum to the Corporate Rating Criteria - Effective from 21 June 2024 to 6 December 2024 \(pub. 21 Jun 2024\)](#)

[Corporates Recovery Ratings and Instrument Ratings Criteria \(pub. 02 Aug 2024\) \(including rating assumption sensitivity\)](#)

APPLICABLE MODELS

Numbers in parentheses accompanying applicable model(s) contain hyperlinks to criteria providing description of model(s).

Corporate Monitoring & Forecasting Model (COMFORT Model), v8.1.0 ([1](#))

ADDITIONAL DISCLOSURES

[Dodd-Frank Rating Information Disclosure Form](#)

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ENDORSEMENT STATUS

RWE AG	EU Issued, UK Endorsed
RWE Finance Europe B.V.	EU Issued, UK Endorsed
RWE Finance US, LLC	EU Issued, UK Endorsed

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